Note 16 – Income Taxes

Income tax expense on the Consolidated Statements of Operations for the years ended December 31 was as follows:

	2024	2023	2022
		(In thousands)	
Current:			
Federal	**$ 51,899**	$ 45,746	$ 27,293
State	**17,767**	18,296	13,230
	69,666	64,042	40,523
Deferred:			
Income taxes:			
Federal	**(1,082)**	263	1,715
State	**732**	(1,869)	363
	(350)	(1,606)	2,078
Total income tax expense	**$ 69,316**	$ 62,436	$ 42,601

Components of deferred tax assets and deferred tax liabilities at December 31 were as follows:

	2024	2023
	(In thousands)	
Deferred tax assets:		
Deferred compensation/compensation related	**$ 23,751**	$ 22,358
Asset retirement obligations	**15,420**	10,862
Operating lease liabilities	**12,725**	11,468
Accrued pension costs	**9,528**	10,556
Capitalized inventory overheads	**8,359**	7,388
Net operating loss/credit carryforward	**5,528**	10,811
Section 174 costs	**4,051**	3,207
Other	**4,645**	6,251
Total deferred tax assets	**$ 84,007**	$ 82,901

	2024	2023
	(In thousands)	
Deferred tax liabilities:		
Basis differences on property, plant and equipment	**$ 209,488**	$ 206,507
Intangible assets	**13,574**	12,220
Operating lease right-of-use-assets	**12,725**	11,468
Other	**17,419**	16,437
Total deferred tax liabilities	**253,206**	246,632
Valuation allowance	**5,528**	10,811
Net deferred income tax liability	**$ (174,727)**	$ (174,542)

As of December 31, 2024 and 2023, we had various state income tax net operating loss carryforwards of $98.6 million and $133.6 million, respectively, and federal and state income tax credit carryforwards, excluding alternative minimum tax credit carryforwards, of $591,000 for 2023. The state income tax net operating loss

carryforwards are due to expire between 2025 and 2044. Changes in tax regulations or assumptions regarding current and future taxable income could require additional valuation allowances in the future.

The following table reconciles the change in the net deferred income tax liability from December 31, 2023, to December 31, 2024, to deferred income tax expense:

	2024	2023
	(In thousands)	
Change in net deferred income tax liability from the preceding table	**$ 185**	$ (1,262)
Deferred taxes associated with other comprehensive loss	**(670)**	(344)
Other	**135**	—
Deferred income tax expense for the period	**$ (350)**	$ (1,606)

Total income tax expense differs from the amount computed by applying the statutory federal income tax rate to income before taxes. The reasons for this difference were as follows:

Years ended December 31,	2024		2023		2022	
	Amount	%	Amount	%	Amount	%
	(Dollars in thousands)					
Computed tax at federal statutory rate	**$ 56,909**	**21.0**	$ 51,515	21.0	$ 33,353	21.0
Increases (reductions) resulting from:						
State income taxes, net of federal income tax*	**14,559**	**5.4**	12,977	5.3	10,725	6.7
Depletion allowance	**(2,767)**	**(1.0)**	(2,808)	(1.1)	(2,068)	(1.3)
Nondeductible expenses	**1,258**	**0.5**	2,299	0.9	1,068	0.7
Tax credits	**(720)**	**(0.3)**	(1,722)	(0.7)	(494)	(0.3)
Unrecognized tax benefits	**77**	**—**	175	0.1	17	—
Total income tax expense	**$ 69,316**	**25.6**	$ 62,436	25.5	$ 42,601	26.8

* State taxes in Oregon, Minnesota and California constitute the majority (greater than 50%) in this category.

The following table provides cash taxes paid for the year end December 31, 2024:

Jurisdiction	2024
	(In thousands)
Federal	$ 46,000
Oregon	7,229
Minnesota	4,396
Other States/Cities	9,747
Total	$ 67,372

Knife River and its subsidiaries file income tax returns in the U.S. federal jurisdiction, and various state and local jurisdictions. We are no longer subject to U.S. federal or non-U.S. income tax examinations by tax authorities for years ending prior to 2021. With few exceptions, as of December 31, 2024, we are no longer subject to state and local income tax examinations by tax authorities for years ending prior to 2021.

Total reserves for uncertain tax positions were not material. We recognize interest and penalties accrued relative to unrecognized tax benefits in income tax expense.